Project 1 Decision Memo: Apple Inc. (AAPL)

Decision user: Investment committee

Recommendation: Watch/Defer. Do not initiate from this evidence set; this is not investment advice.

Evidence and market-price context

The evidence supports separate method results, not one precise target price or an average. The FCFF DCF discounts a CFO-less-capex FCFF proxy at WACC and bridges enterprise value to equity. The five-year pro-forma projects three statements and FCFE before share repurchases, discounted at cost of equity. These architectures are reported side by side, not silently merged.

Method	Existing valuation evidence	Market-price comparison and exact date
FCFF DCF sensitivity	$65.66-$103.95 per diluted share; base $80.1646	$315.34 regular-session AAPL close on September 9, 2026.
Five-year pro-forma / FCFE	Base $118.12 per fixed diluted share; one-at-a-time cases $115.29-$120.94	$337.02 latest completed regular-session close on September 23, 2026.
Two-peer P/E	$153.38-$236.38 implied per-share range; median $194.88	$315.34 AAPL regular-session close on September 9, 2026.
Single-peer EV/EBITDA	Garmin EV/EBITDA 24.3132x; implied AAPL enterprise value $3,519,283.133M, equity value $3,456,560.133M, and diluted-share value $230.37	Uses the $315.34 AAPL and $272.18 GRMN September 9, 2026 closing-price convention. It is a single-peer cross-check, not a median or target price.

The P/E and FCFF comparisons use the September 9 price because those exercises were built with that convention. The pro-forma uses the latest completed close available during its September 24 review, September 23. Edition A identifies September 1, 2026 as its valuation date. The comparisons therefore use different dates and are not presented as one aligned range.

Material limitations

- The FCFF starting value is a CFO-less-capex proxy, not a fully reconciled FCFF measure. Cash classification, the enterprise-to-equity bridge, and the diluted-share convention require further support.
- The pro-forma holds marketable securities, debt, debt rate, and diluted shares fixed; it uses a 10.0% cost of equity, 2.5% terminal growth, and residual cash repurchases. Terminal value is 70.53% of base value.
- The P/E peers differ from Apple in business model and fiscal-year timing. The EV/EBITDA result relies on Garmin alone and uses a cash-only bridge that excludes marketable securities.
- Gross margin is the larger tested Lab 11 driver ($5.66 per-share span versus $4.19 for Mac growth). A Services downside, including regulatory pressure on Google search payments, has not been modeled.

Committee action and monitoring triggers

Maintain **Watch/Defer**. Before considering initiation, require a reconciled FCFF build and cash policy, a common valuation-date convention, and a documented Services-downside case. Reconsider if a reconciled FCFF model materially raises its defensible range, updated filing evidence changes Services growth or gross-margin support, regulatory developments impair Services economics, or the market price moves into a method range after assumptions and dates are refreshed.